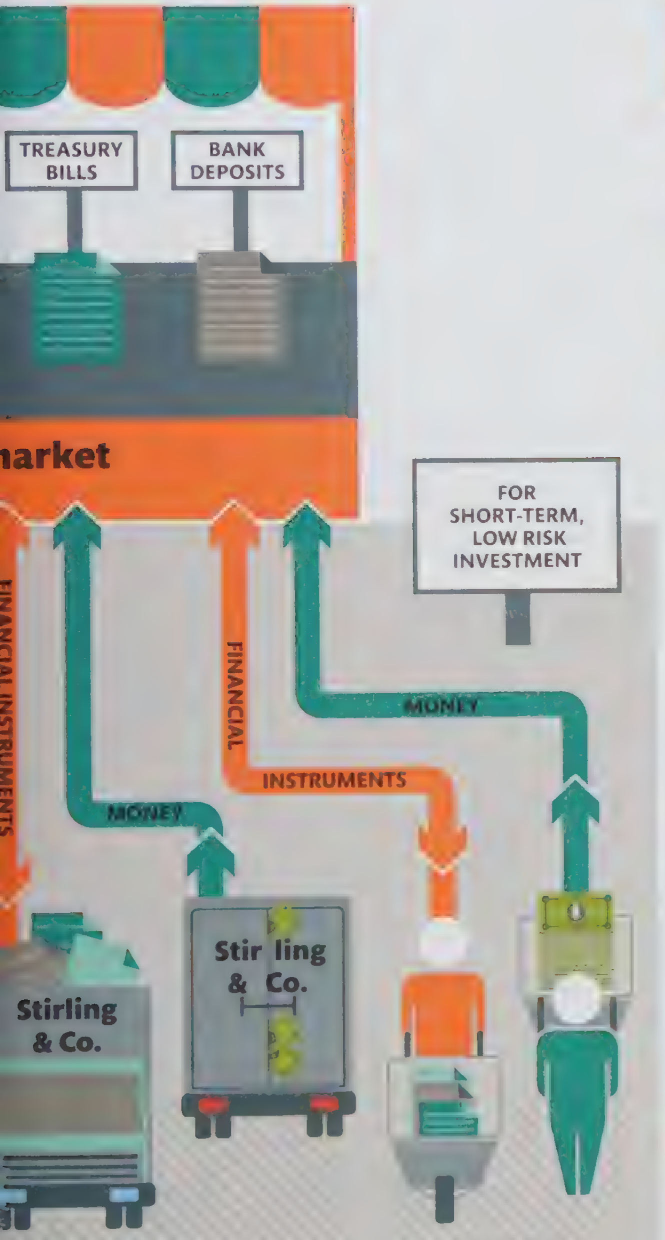


COMPANIES
A company that has a cash surplus may "park" money for a time in short-term, debt-based financial instruments such as treasury bills and commercial paper, certificates of deposit, or bank deposits.

INVESTORS
Individuals seeking to invest large sums of money at relatively low risk may invest in financial instruments. Sums of less than $50,000 can be invested in money market funds.

WHAT IS TRADED ON THE MONEY MARKET?

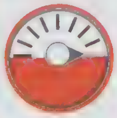

LEAST RISK

❯ **Treasury bills** Short-term government securities that mature within three months to one year of issue, also known as T-bills. They are acquired at a discount on their face or "par" value, which is then paid in full on maturity. T-bills are considered effectively risk-free.


MEDIUM RISK

❯ **Certificates of deposit** Fixed-term savings certificates issued with a set interest rate by banks. Rates depend on length of maturity, with longer terms getting better rates. The main risks are being locked in to low interest rates if rates rise, and early withdrawal penalties.

❯ **Bank deposits** Money deposited in banks, often for a fixed term. Interest rates vary, based on the amount deposited and on deposit liquidity. Risk depends on bank creditworthiness, and whether it is insured by the FDIC.


HIGH RISK

❯ **Commercial paper** Short-term, unsecured debt issued by a company. Only companies with good credit ratings issue commercial paper because investors are reluctant to buy the debt of financially compromised companies. They tend to be issued by highly rated banks and are traded in a similar way to securities. Asset values are in the thousands or millions of dollars.

NEED TO KNOW

❯ **Money market funds** Collectives that offer "baskets" of financial instruments to individual investors, allowing them to invest in the money market with a sum of less than $50,000.

❯ **Federal funds rate** The rate at which financial institutions borrow and lend to each other overnight. It is a very influential interest rate in the US economy—if the rate goes up, so does the cost of borrowing.